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HELMING THE DELIBERATIONS
Goyal at the WTO's biennial ministerial conference in Abu Dhabi, March 1

WTO CONFERENCE

INDIA LEADS THE PUSHBACK

By Anilesh S. Mahajan

India's commerce & industry minister Piyush Goyal may have been two days late to join deliberations at the 13th Ministerial Conference (MC13) of the World Trade Organization (WTO) in Abu Dhabi, but his presence was felt as soon as he arrived. From teaming up with South Africa to block the China-led Investment Facilitation Development (IFD) Agreement, which would have potentially put non-trade barriers on foreign direct investments, to joining hands with a cohort of Pacific nations to corner the Western bloc on unregulated and subsidised fishing in the deep sea, India asserted its own and the Global South's interests.

To begin with, no consequential outcomes were expected from this round, held from February 26 to March 2, yet the pressure was on the 164-member body to achieve its mandate of building consensus on trade rules—further complicated by a series of global disruptions. Most of New Delhi's stances were driven by domestic complexities, but also represented the country's growing clout on multilateral platforms. Here's a look at some of the key issues and outcomes:

INVESTMENT FACILITATION

↘ **The issue:** Agreed upon by some 123 countries, the IFD Agreement is meant to improve the investment environment and encourage FDIs.

↘ **India's stance:** With non-trade issues such as climate, gender and labour becoming part of the deal, which, in fact, are outside the WTO framework, India feels it would put emerging economies at a disadvantage. New Delhi is also averse to provisions that could compromise its sovereign rights to regulate.

↘ **Outcome:** Decision deferred, after New Delhi teamed up with Pretoria to flag their common concerns.

AGREEMENT ON AGRICULTURE

↘ **The issue:** The Agreement on Agriculture (AoA) focuses on reducing agricultural subsidies to domestic producers to not more than 10 per cent of a country's agricultural GDP. The 2013 Bali conference (MC9) saw New Delhi concede to the AoA with a temporary "peace clause", which stipulated that no developing country would be legally barred from its public stockholding programmes even if subsidies breached the limit. Later, India regrouped and sought more concessions to close the deal.

↘ **India's stance:** What India wants is a permanent solution. Since MC10, it has been pushing for subsidies beyond the ceiling to support its farmers and ensure food security. It is also opposed to the way the West calculates subsidies.

↘ **Outcome:** No agreement reached, as India joined hands with other emerging economies to thwart the West's pressure.

> **"IN EVERY RESPECT, WE HAVE BEEN ABLE TO [PROTECT] INDIA'S INTERESTS TO THE HIGHEST LEVEL POSSIBLE"**
> **Piyush Goyal,** *Union Minister of Commerce & Industry*

FISHERIES SUBSIDIES

↘ **The issue:** Adopted at MC12, the Agreement on Fisheries Subsidies was seen as a major step towards ocean sustainability by prohibiting harmful subsidies. Ratified by 71 member-countries, it needed 39 more nods to reach the threshold of 110 to come into force.

↘ **India's stance:** New Delhi wants the inclusion of subsidies being provided to big trawlers and curbs on unregulated fishing in the deep sea.

↘ **Outcome:** Decision deferred after pushback by India and Pacific nations.

ELECTRONIC TRANSMISSIONS

↘ **The issue:** Since 1998, there has been a moratorium on the imposition of customs duties on electronic transmissions, that is, online imports of digital products such as e-books and video games.

↘ **India's stance:** Several domestic lobby groups, including the RSS-backed Swadeshi Jagran Manch, had been pushing Goyal's ministry to achieve the "sovereign right" to tax e-transmissions. India and other emerging economies, which have been losing out on much-needed revenue, opposed the Western bloc's push for extending the moratorium.

↘ **Outcome:** An expiry date agreed upon. Moratorium to stay until MC14 or March 31, 2026, whichever is earlier. ■